



China sportswear

Global Markets Research

23 July 2026

EQUITY: CONSUMER RELATED

Sequentially weakening momentum in 2Q26

Operational improvement a key to defend market share amid sluggish sales and fierce competition

2Q26 sector's sales losing momentum

Major domestic sportswear companies have lost sales momentum in 2Q26 after experiencing solid sales growth in 1Q26 (*Fig. 1*); brands such as Li Ning (2331 HK, Neutral) and Xtep (1368 HK, Neutral) started to see y-y sales declines in 2Q26, while brands such as ANTA core and FILA (both owned by ANTA, 2020 HK, Buy) remained on positive sales growth tracks (sales growing by a low-single-digit percentage, or LSD%, for both brands, but also slowed down meaningfully from the brands' 1Q26 sales numbers). We believe major headwinds on sportswear companies' 2Q26 sales momentum included increasingly sophisticated Chinese consumers (thus higher demand for both value and functions of the products), lack of significant product innovation/differentiation, fierce competition, as well as unfavorable weather conditions in 2Q26 (mainly impacting offline sales). Also in 2Q26, major domestic players have seen relatively deeper discount levels with their efforts to accelerate sales, while their inventory levels have been maintained at more or less healthy levels (*Fig. 2*), except for Xtep (inventory as of end-2Q26 at 4.5-5.0 months, worsening from 4.5 months as of end-1Q26).

Operational improvement a key to defend market share

Looking into 2H26F, we see a continued drag on the sector from the aforementioned headwinds; on the positive side, most of the sportswear brands, such as the ANTA core brand and Li Ning, will be helped by low comparison bases from 2H25 (see *Fig. 1*) and mismatching of the Mid-autumn Festival/National Day Holiday in 2025/2026. Net net, we expect the three domestic names under our coverage to deliver mediocre revenue growth of c.3% y-y on average. For sportswear players, we expect measures to improve their operations will be the key to defend their market share, as there might be no meaningful product differentiation among the sector in the next few quarters. For example, ANTA has recently reshuffled the top management of the core ANTA brand and repositioned some of its signature store formats (scaling back the ANTA Sneakerverse and Super ANTA stores; opening the new ANTA Market stores); Li Ning has been closing down its underperforming directly operated stores; even international players such as Nike (NKE US, Not rated) have been taking proactive moves to rejuvenate their China businesses (closing down of third-party online distribution in China, investing more in the local market-driven product design).

We prefer ANTA in the China sportswear sector

We have summarized the operational highlights of major domestic sportswear players in 2Q26 on the second page of this report. Among them, ANTA remains our preferred name in the sportswear space, given its exposure to structural growth opportunities (especially running and outdoor activities) in the long term and attractive valuation levels.

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Key operations in 2Q26 for major domestic sportswear names

ANTA (2020 HK, Buy) – resilient performance amid sector slowdown

ANTA announced a set of solid 2Q26 operating data (17 July).

- The ANTA core and FILA brands' sales both increased by LSD% and LSD% y-y in 2Q26, while other brands' sales grew by 25-30% y-y. Although ANTA, like its other peers, experienced a slowdown in sales momentum in 2Q26, its sales outperformed the overall sportswear sector, indicating the resilience of ANTA's multi-brand strategy and solid operational capability, in our view.
- ANTA has been adjusting operations across its brand portfolios, amid a sales slowdown for the sportswear sector as well as increasing competition from niche segment leaders, which in our view should help the ANTA core brand defend its market share in the mass market segment (e.g., online sales of the ANTA core brand recorded double-digit-percentage y-y growth in 2Q26 after the product/channel adjustments since 3Q25).
- On the other hand, brands such as DESCENTE and KOLON are still delivering solid growth thanks to their training/outdoor exposure.
- ANTA remains our preferred name in the sportswear sector, given its exposure to structural growth opportunities in the long term and attractive valuation levels. Our target price for ANTA is HKD89.90, with a Buy rating. For more details, please refer to our latest [report](#).

Li Ning (2331 HK, Neutral) – A disappointing second quarter

Li Ning reported its 2Q26 operating data (15 July).

- Quarterly retail sales (excluding LI-NING YOUNG) declined by LSD% y-y, with the offline and online channels registering a LSD% sales decline and mid-single-digit percentage (MSD%) y-y sales growth, respectively; including sales of LI-NING YOUNG, the company reported largely flat y-y sales growth for 2Q26.
- While the company has maintained its full-year sales and margin targets, we believe the likelihood of Li Ning missing its FY26 sales target has increased following its lackluster 2Q26 sales performance. Li Ning's two major product categories – Running and Sports Leisure – recorded y-y sales declines in 2Q26, reversing their y-y growth trajectories in 1Q26, despite the company's efforts to introduce refreshed products, innovative running technologies and new brand ambassadors to the sports leisure segment.
- We believe Li Ning's weak sales performance in these two segments was mainly a result of tepid consumer demand and fierce competition, which are unlikely to get better in the short term, in our view. Our target price for Li Ning is HKD16.00, with a Neutral rating. For more details please refer to our latest [report](#).

Xtep (1368 HK, Neutral) – Core brand sales dropped in 2Q26

Xtep reported a set of mediocre 2Q26 operating data (17 July).

- The Xtep core brand recorded a y-y sales decline of MSD% in 2Q26, leading to a LSD% y-y sales decline in 1H26. The softening sales momentum was due to tepid demand, Xtep's less exposure to shopping malls with higher consumer foot traffic, intensified competition in the mass market, as well as unfavorable weather conditions.
- On the other hand, for the historically fast-growing Saucony brand as well, sales moderated with only LSD% y-y growth of 2Q26 sales, slowing down from the 20%+ y-y growth in 1Q26. Saucony's declining sales momentum was mainly due to the brand's conservative actions for the online channel with no aggressive promotions, dragging its online sales; the offline sales of Saucony still grew 20%+ y-y in 2Q26.
- In all, we see growing uncertainties for the company in defending its market share, mainly considering the sluggish sales of the Xtep core brand. Our target price for Xtep is HKD4.20, with a Neutral rating. For more details please refer to our latest [report](#).

Fig. 1: China sportswear – quarterly retail sales trends by key domestic players

Retail sales growth (% y-y)	Mar-24 1Q24	Jun-24 2Q24	Sep-24 3Q24	Dec-24 4Q24	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	Mar-26 1Q26	Jun-26 2Q26
ANTA										
ANTA	+MSD	+HSD	+MSD	+HSD	+HSD	+LSD	+LSD	-LSD	+HSD	+LSD
FILA	+HSD	+MSD	-LSD	+HSD	+HSD	+MSD	+LSD	+MSD	+10-20%	+LSD
Other brands	+25-30%	+40-45%	+45-50%	+50-55%	+65-70%	+50-55%	+45-50%	+35-40%	+40-45%	+25-30%
DESCENTE	+20-25%	+35-40%	+35-40%		>60%	>40%	c.30%	+25-30%	+30-35%	>20%
KOLON	>+50%	>+60%	+65-70%		>100%	>70%	c.70%	+50-55%	+50-55%	>40%
MAIA ACTIVE					high dd	>30%	c.45%	+25-30%	+30-35%	>25%
Li Ning										
Overall platform	+LSD	-LSD	-MSD	+HSD	+LSD	+LSD	-MSD	-LSD	+MSD	-LSD
Retail (direct operation)	+MSD	flat	-MSD	-LSD	-LSD	-MSD	-MSD	-LSD	+low-teens	-LSD
Wholesale (franchised distributors)	-MSD	-HSD	-HSD	+MSD	+LSD	+LSD	+HSD	-MSD	+LSD	-MSD
Online	+low-20s	+HSD	+MSD	+mid-teens	+low-teens	+MSD	+HSD	flat	+HSD	+MSD
Xtep										
Core Xtep brand										
Retail sell-through growth	+HSD	+10%	+MSD	+HSD	+MSD	+LSD	+LSD	flat	+LSD	-MSD
Retail discount level	25%-30%	25%	25%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%
Channel inventory turnover (months)	4.5-5.0	4.0	4.0	4.0	4.0	4.0-4.5	4.0-4.5	c.4.5	c.4.5	4.5-5.0
Saucony										
Retail sell-through growth					>+40%	>+20%	>+20%	>+30%	>+20%	+LSD
361 Degrees										
361° core brand (offline channels)	+high-teens	c.10%	c.10%	c.10%	+10-15%	c.10%	c.10%	c.10%	c.10%	+M-HSD
361° kids brand (offline channels)	+20-25%	+mid-teens	c.10%	+10-15%	+10-15%	c.10%	c.10%	c.10%	c.10%	+M-HSD
361° e-commerce platform	+20-25%	+30-35%	>20%	+30-35%	+35-40%	c.20%	c.20%	+high-teens	+mid-teens	+HSD

Source: Company data, Nomura research

Fig. 2: China sportswear – inventory and discount levels by key domestic players

As of 2Q26	Channel inventory turnover (months)	Retail discount level
ANTA		
ANTA	5.0	offline: c.28%
		online: slightly higher than 50%
FILA	lower than 5.0	offline: c.27%
		online: c.40%
KOLON	lower than 4.0	all channel: <10%
Li Ning		
Li Ning all	4.0	offline: c.35%
Xtep		
Core Xtep brand	4.5-5.0	all channel: 25%-30%
361 Degrees		
361° all	4.5-5.0	all channel: c.29%

Source: Company data, Nomura research

Fig. 3: China sportswear – comp table

Name	Ticker	Rating	Target Price	Current Price	Market Cap	P/E		EV/EBITDA		CY24-27F CAGR		
			(LC\$)	(LC\$)	(USD mn)	25F	26F	25F	26F	Revenue	Net profit	EBITDA
Sportswear												
ANTA Sports Products Ltd	2020 HK Equity	Buy	89.90	75.90	27,073	13.8x	12.7x	8.4x	7.2x	6.0%	5.3%	13.3%
Li Ning Co Ltd	2331 HK Equity	Neutral	16.00	14.85	4,896	12.6x	11.8x	3.8x	3.7x	4.0%	2.3%	3.1%
Xtep International Holdings Lt	1368 HK Equity	Neutral	4.20	3.64	1,307	6.4x	7.1x	3.4x	3.5x	3.1%	1.2%	6.9%
361 Degrees International Ltd	1361 HK Equity	NR	NR	4.55	1,240	6.4x	5.8x	2.9x	2.8x	9.8%	11.7%	9.8%
Average						9.8x	9.4x	4.6x	4.3x	5.7%	5.1%	8.3%

Note: closing price as of 22 July 2026. Source: Bloomberg Finance L.P., Nomura estimates.

Fig. 4: China sportswear – share price performance

	Ticker	Rating	Target Price	Current Price	Up/down	Share performance (%)			
Name			(LC\$)	(LC\$)	Potential (%)	1D	3D	5D	1M
Sportswear									
ANTA Sports Products Ltd	2020 HK Equity	Buy	89.90	75.90	18.4%	-1.1%	2.4%	2.9%	9.2%
Li Ning Co Ltd	2331 HK Equity	Neutral	16.00	14.85	7.7%	0.0%	0.3%	-1.8%	-5.8%
Xtep International Holdings Lt	1368 HK Equity	Neutral	4.20	3.64	15.4%	-2.4%	-1.4%	-1.4%	-6.9%
361 Degrees International Ltd	1361 HK Equity	NR	NR	4.55	NA	-0.9%	0.4%	2.3%	6.8%
Average						-1.1%	0.4%	0.5%	0.8%

Note: closing price as of 22 July 2026. Source: Bloomberg Finance L.P., Nomura estimates.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Xtep	1368 HK	HKD 3.64	22-Jul-2026	Neutral	N/A	
ANTA Sports Products	2020 HK	HKD 75.90	22-Jul-2026	Buy	N/A	
Li Ning	2331 HK	HKD 14.85	22-Jul-2026	Neutral	N/A	A7,A10

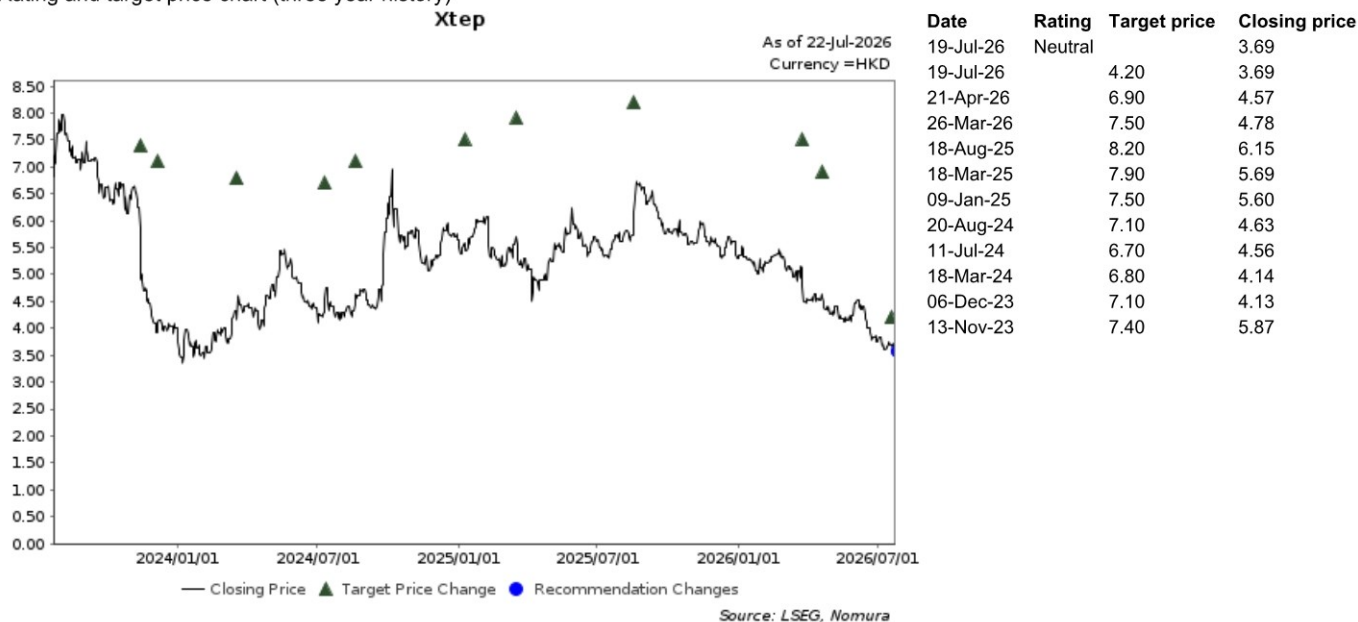
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Xtep (1368 HK)

HKD 3.64 (22-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

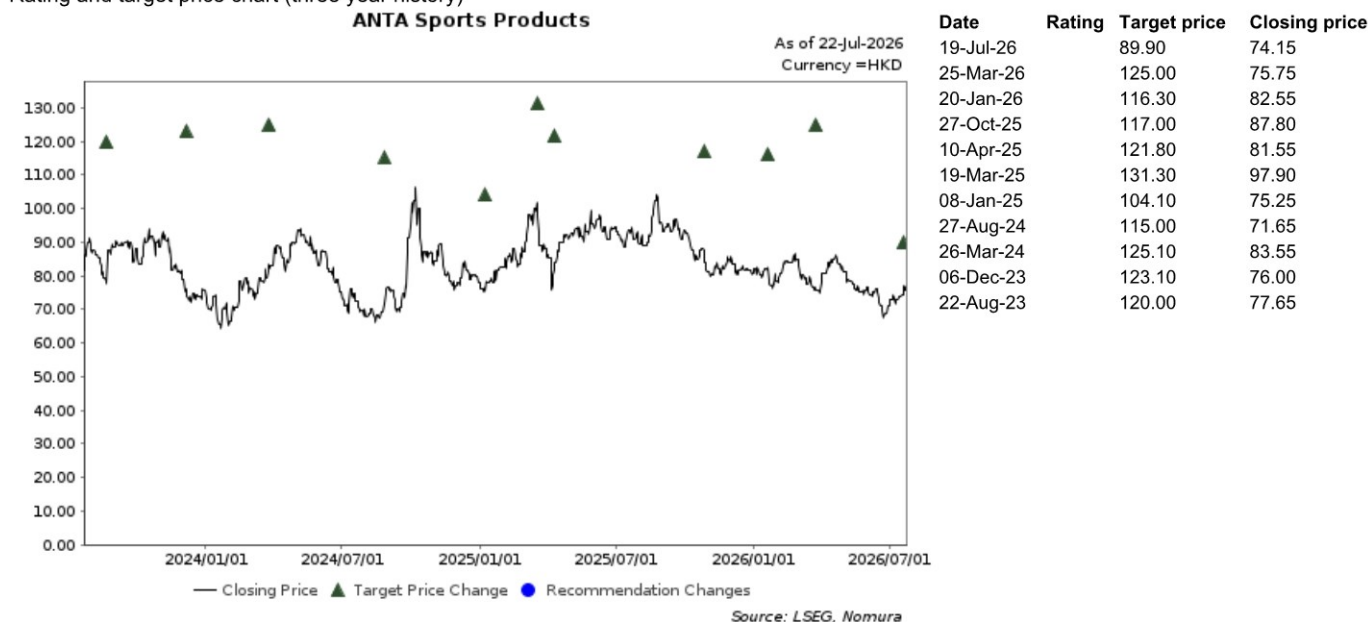
Valuation Methodology Our target price of HKD4.20 is based on 8.5x FY26F P/E, which is close to the stock's 5-year average F12M P/E. The benchmark for this stock is the HSI.

Risks that may impede the achievement of the target price Key upside risks to our target price and Neutral rating include: 1) stronger-than-expected recovery in its core brand; 2) better-than-expected performance of Saucony. Downside risks include: 1) sluggish demand under the macroeconomic uncertainties; 2) weaker-than-expected operation enhancement; and 3) supply chain management inefficiency.

ANTA Sports Products (2020 HK)

HKD 75.90 (22-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

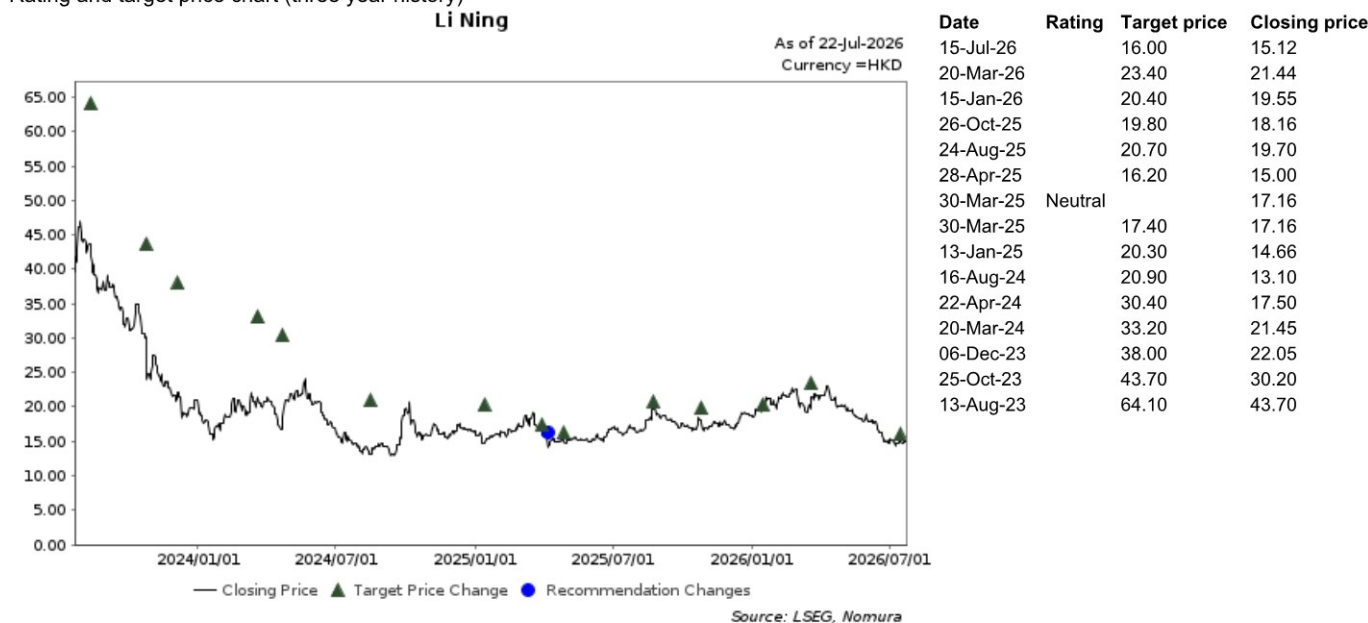
Valuation Methodology Our target price of HKD89.9 for ANTA is based on 17.5x F12M P/E, consistent to the company's leading position in China's sportswear sector and stable growth trajectory. The benchmark index of ANTA is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks to our Buy rating and target price for ANTA include: 1) intensifying competition from both domestic and global players; 2) slower-than-expected sales growth; and 3) weaker-than-expected macroeconomic dynamics.

Li Ning (2331 HK)

HKD 14.85 (22-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD16.00 is based on 13x F12M P/E, slightly higher than the company's 5-year historical average 12-month-forward P/E at 12x. The benchmark for this stock is the HSI.

Risks that may impede the achievement of the target price Key upside risks to our target price and Neutral rating include: 1) stronger-than-expected recovery in basketball and sports-leisure segments; 2) better-than-expected performance in lower-tier cities. Key downside risks include: 1) sluggish macroeconomic environment; 2) weaker-than-expected operating efficiency.

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